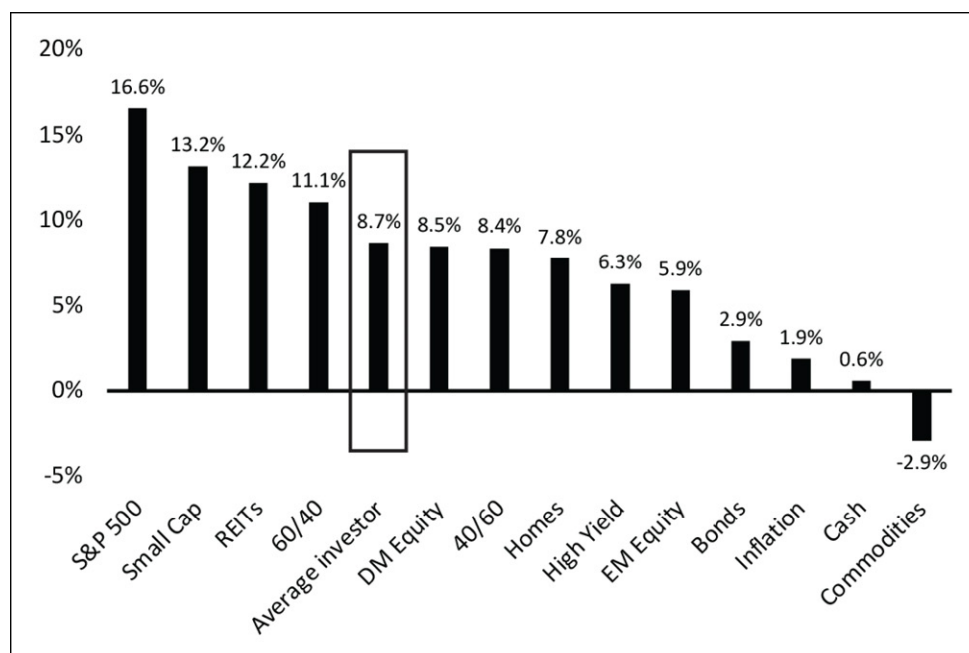


pages of charts and graphs filled with wonderful insights.<sup>394</sup> One of the most instructive slides shows just how much a lack of discipline costs investors in terms of returns. The behavior gap is the underperformance between what each asset class returns and how investors in those assets did.

Over the decade covering 2012–2021, the S&P 500 generated a total average annual return of 17%; during that same period, the average investor only gained 9% per year—half of what the equity markets generated and a third less than a simple 60/40 portfolio.

### 10-year annualized returns by asset class (2012–2021)



It's even worse if you look at the 20 years from 2002–2021. That period covered most of the dotcom implosion and all of the GFC. During that volatile era, the S&P 500 returned 10% annually, while investors garnered about 4% per year—just over a third of the index, and less than half of a 60/40.